Once you get through those two challenges, next you must decide when to jettison the winners. Even the best performers eventually lose their luster. After decades of great performance, General Motors declared bankruptcy in 2009. AT&T was broken into many smaller parts, some of which have done very well (Verizon), while others not so much (Lucent). International Paper, Sears, US Steel, Bethlehem Steel, and Woolworth were all once Dow stocks, and now are worth fractions of their peak values. It was not that long ago that General Electric was a beloved Dow stock; today, it is a shell of its former self. This is to say nothing of the endless parade of frauds that took down companies like Enron, WorldCom, Lehman Brothers, and all the rest.

Finding the very best companies to own is very difficult to do. Figuring out which ones to hold on to is even harder.

The inclusive approach also has challenges. Indexing is boring, and it gives you nothing to talk about at parties. It is considered a lazy way of investing, even un-American[221] and antithetical to capitalism[222]—or worse.[223]

But it does have two undeniable advantages for those hunting for the market's biggest winners: First, it's much less expensive, with lower costs and less taxes. Second, it is all but guaranteed to work.

Think about that the next time you wistfully look at Nvidia's stock price.

If you think *buying* the best stocks is hard, wait until you see the degree of difficulty involved in selling those winners. That's our next chapter.

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219 Exxon and Mobil, along with Chevron, are among the descendants of the Standard Oil trust, which was broken up years ago. The Center for Research in Security Prices database handles this in a method that might understate Exxon's total value creation.

220 The losers can be useful. We will meet them again in a later chapter on tax-loss harvesting.

221 Luke Kawa, "Alliance Bernstein: Passive Investing Is Worse for Society Than Marxism," Bloomberg (August 23, 2016).

222 Simone Foxman, "Paul Singer Says Passive Investing Is 'Devouring Capitalism'," Bloomberg (August 3, 2017).